

A1 Long Questions Feedback

Question 1.1:

The question was answered well. A lot of students were able to get the final answer of 16%. However, some students had problems with the formula and were dividing the GDP IN 2010 by the GDP in 2008 without subtracting. Other students had the right working (calculation), but failed to get the correct answer. I awarded 1 mark to students with correct working but wrong answer.

Question 1.2:

Most students got half the total mark. Most students were only mentioning the omission of immeasurable things like happiness and did not write about equity or informal sector.

Question 2.1:

A lot of students failed to get the equation of the isocost line.

Question 2.2:

Because of failing to get the equation of the isocost, a lot of students could not get the gradient. Some students got the equation right but did not put it in the form that allowed them to get the gradient. This resulted in them giving wrong answers. Around half of students who managed to get the slope failed to interpret it. Some students got the magnitude of the slope right but did not present that it was negative. Students got half a mark if they showed the calculation with a negative gradient and presented a positive answer without mentioning that it is the "Absolute value".

Question 2.3:

Majority of students got this question right.

Question 3.1:

This question was poorly answered. Surprisingly, students were writing more than a page for this 3-mark question. Majority of the students did not get full marks for this question because they omitted the point that "At subsistence level, people earned enough just to survive".

Question 3:

3.2 The answer was option C because it is more labour intensive. Most students gave the correct answer as well as the correct reason for choosing option C. Very few seemed confused, they would mention C but give the wrong reason.

3.3 Many students didn't seem to get the calculation right. And for those that got it, used a long route to get to the answer rather than directly multiply 20×120 .

Question 4

4.1 Overall many students got the answer right. For most that didn't get it right, it was because they had reversed the calculation such that they were getting the answer $\frac{1}{2}$ instead of 2. Some students would only give a long explanation of what MRS is without calculating the MRS as the question asked.

4.2 Those that got 4.1 right also got 4.2 right, with few exceptions that probably didn't fully understand the question and went on to make wrong calculations.

4.3 The students did fairly well on the first part of this question, by mentioning that the real income did not change. However, the reasoning was the challenging part for most students.

4.4 Most students didn't do well on this question especially if they also didn't know how to answer question 4.3.

4.5 This was the most challenging question for the students as many did not get it right. Not many students got all 3 marks for the question. Most students earned one mark for explaining only the substitution effect. I gave half a mark to students who at least mentioned that more sunflowers would be bought because they had become relatively cheaper now that the price of bananas had gone up.

Question 5

Reasonably well answered, most students seemed to understand that Point C had the maximum amount of both goods and was infeasible. However, many thought Point B was preferable just because C was infeasible.

Opportunity cost was only understood by approximately half of students.

For 5.4 I marked leniently and awarded one mark for identifying that the feasible frontier should decrease. However, many students mistakenly thought the pest would cause free time to decrease and did not specify that only the x intercept would decrease.

Question 6

Most students could calculate the hourly wage, but many struggled with fully explaining the income and substitution effect. Few students got full marks for 6.2. I gave full marks if the exact change in the hours of free time for each effect was provided, as well as enough explanation. 3 marks were awarded if the change in relative prices for the income effect and the opportunity cost for the substitution effect was explained, in addition to identifying the correct direction of the effect on free time.

Question 7

7.1

In game theory, a player's strategy is any of the options which they choose in a setting where the outcome depends not only on their own actions but on the actions of others.

Most students confused the player and the strategy as the Nash equilibrium.

Some indicated that going to different places is the Nash equilibrium. Students should have picked the highest payoff, $3 > 2$ and $5 > 0$. Therefore, Mary and Joan will go to the same place as that's where they have the highest payoff. A Nash equilibrium strategy indicates that the players do not have an incentive to deviate from their choice.

Tip: do not spend time defining the question, simply state the answer.

7.2

Students might have been confused with the definition of a Nash equilibrium and a dominant strategy. The dominant strategy is the optimal move for an individual **regardless** of how other players act. A Nash equilibrium describes the optimal state of the game where both players make optimal moves but **now consider the moves of their opponent**.

The strategies in this game are directly dependent on the other players strategy, therefore, no dominant strategy exist. The highest payoff for the player is based on the other players choice.

Tip: read question twice, make sure that the "no" or "yes" is directly related to the explanation you give. Most students said yes but gave a reason that the dominant strategy does not exist.

7.3 This is a follow up question from the previous one. Most students indicated that the Nash equilibria from 7.1 is the reason. This is wrong as it is not the dominant strategy equilibria and there isn't a dominant strategy equilibrium.

Tip: be able to distinguish between the Nash equilibrium, dominant strategy, and equilibrium.

Question 8

8.1 Evaluate the size of the MRS, reservation indifference curve $>$ biological survival constraint.

Tip: Always state true or false first before giving an explanation.

8.2 Well answered.

Tip: be clear in the answer, the number of hours and bushels. The question did not ask for an explanation.

8.3 The question only required that the students state where the equilibrium will be. That is when the slope of the indifference curves intersects with the FF for a and b. Then compare the size of the surplus, simply stating that coercion would result in a higher surplus.

Please students had it correct as above however, some managed the equilibrium but said the voluntary exchange had the highest surplus.

Question 9.1:

Many students could mention that Pareto Efficiency was related to people being "better off" and "worse off" but struggled to link this to a change in the resource allocation. Half marks were awarded if it seemed that some level of understanding was there.

QUESTION 9

9.2 Well answered.

Some students indicated 50-50, 25-75 or 80-20 split.

Each person should receive all the good.